

Chapter 16

The Wild World of ICOs

During the early tech days, innovators such as Steve Jobs, Bill Gates, and Michael Dell became iconic figures who had turned ideas into multibillion-dollar businesses. Over the last decade, we've seen visionaries such as Elon Musk, Peter Thiel, and Mark Zuckerberg do the same. These innovators changed the world because people believed in their visions, and these early believers invested money to turn their ideas into reality. While these investments brought great benefit, they were not based on altruism; initial investors were looking to get a sizable return on their risky investments.

Investing in early stage, private companies is most often referred to as *venture capital*. The term itself conveys the risk involved. After all, *venture* as a verb conveys a journey into the unknown, and *capital* refers to wealth and resources. Venture capital is just that: risking the unknown in the pursuit of outsized rewards, but knowing all along that the probability of failure is high.